

Exhibit 9.2

Components of Morningstar's Gamma

Financial Behavior	Additional Income Generated	Gamma Equivalent Alpha
1. Dynamic Withdrawal Strategy	9.88%	0.70%
2. Total Wealth Asset Allocation	6.43%	0.45%
3. Tax Efficiency	3.23%	0.23%
4. Liability Relative Optimization	1.65%	0.12%
5. Annuity Allocation	1.44%	0.10%
6. Social Security Claiming	9.15%	0.74%
Good Financial Decision Making:	31.78%	2.34%

Source: *Journal of Retirement* (Fall 2013) – Factors 1-5; *Journal of Personal Finance* (Fall 2012) – Factor 6

Over a thirty-year period, those starting with a 4 percent withdrawal rate would need to earn 2.34 percent more per year as alpha (in the median case)—a difficult task indeed—to increase their income by this amount. This is the “gamma-equivalent alpha.” For someone who would otherwise make naïve planning decisions, a 1 percent advisory fee is worthwhile if that advisor helps the individual make these improved decisions. The net gain to the individual would still be an additional 1.34 percent in annual market returns, according to the Morningstar research.

Though I use the term *naïve* to describe decisions made without enough attention to good financial planning strategies, it is important to emphasize that many well-informed individuals may fall prey to these decisions. Two things might hold you back: inertia and behavioral finance. It takes discipline to continually make the little adjustments needed to maintain the integrity of the portfolio and subsequent goals. And if you are busy with life, you are probably not going to stay up late on a Wednesday night, for instance, to review or reassess your withdrawal sequencing and asset location. Life can get in the way. It is easy to be an armchair quarterback and think you will not succumb to the naïve decisions because the answers are obvious, but when you are “on the field,” that is not always the case.